

One drug class. Two opposite outcomes.

GLP-1 drugs became the defining medicine of the decade. Two companies own the franchise.

The market has priced them apart far more than the headlines suggest.

Monthly total return · 2015 → Jul 2026

12 listed names, dividends reinvested

THE TWO LEADERS

Same science. Different decade.

Eli Lilly	+1852%
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Novo Nordisk	+175%
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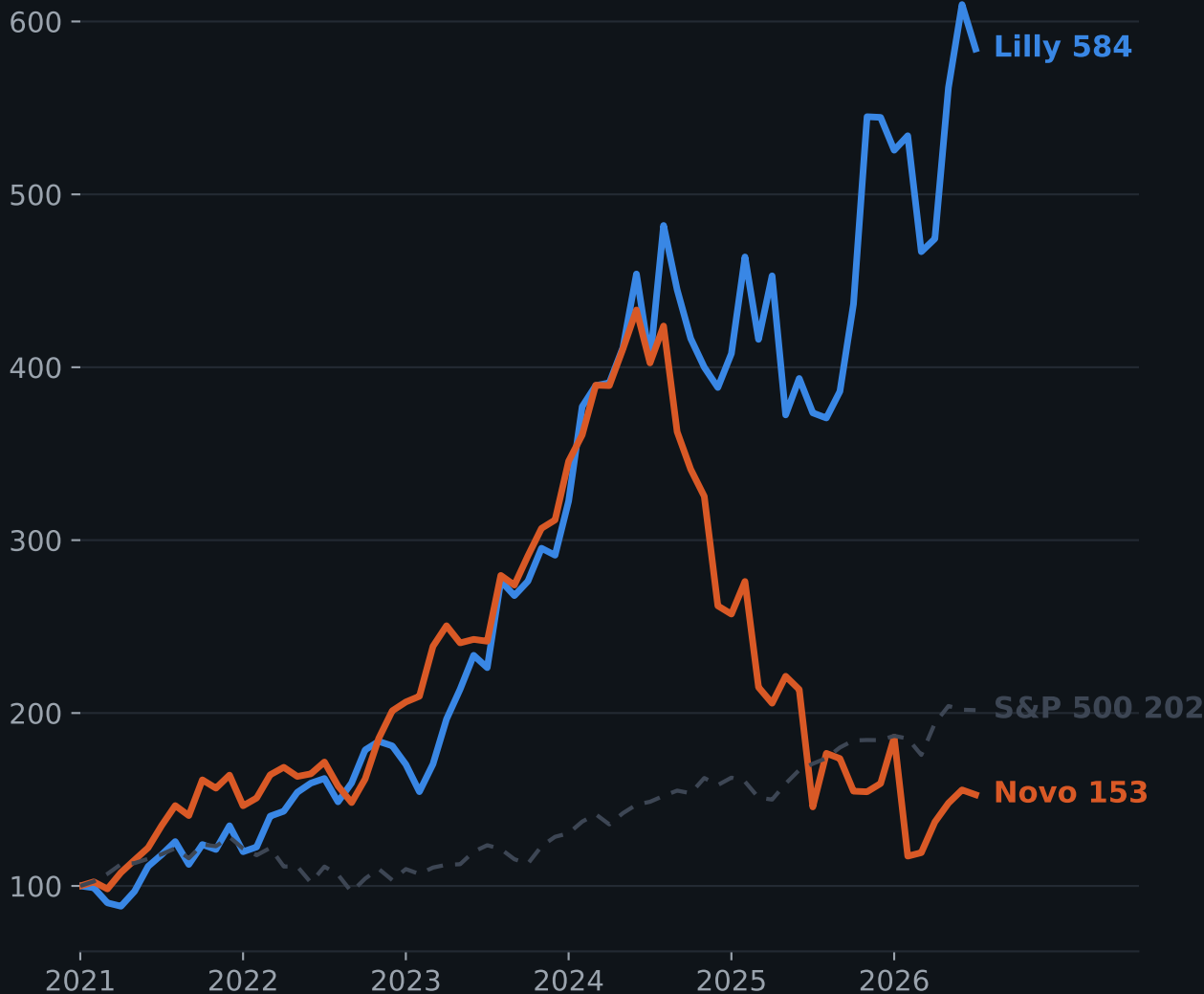
S&P 500	+275%
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Total return since January 2015.

Lilly did not just win. It was the only one of the two that beat the index.

THE DIVERGENCE

They rose together — then split



Indexed: January 2021 = 100.

Novo peaked in mid-2024 and gave back most of the run.

-73%

Novo Nordisk, peak to trough.

Still 65% below its Jun 2024 high.

Why drawdown matters more
than average return:

a fall of 20%

needs +25%

a fall of 50%

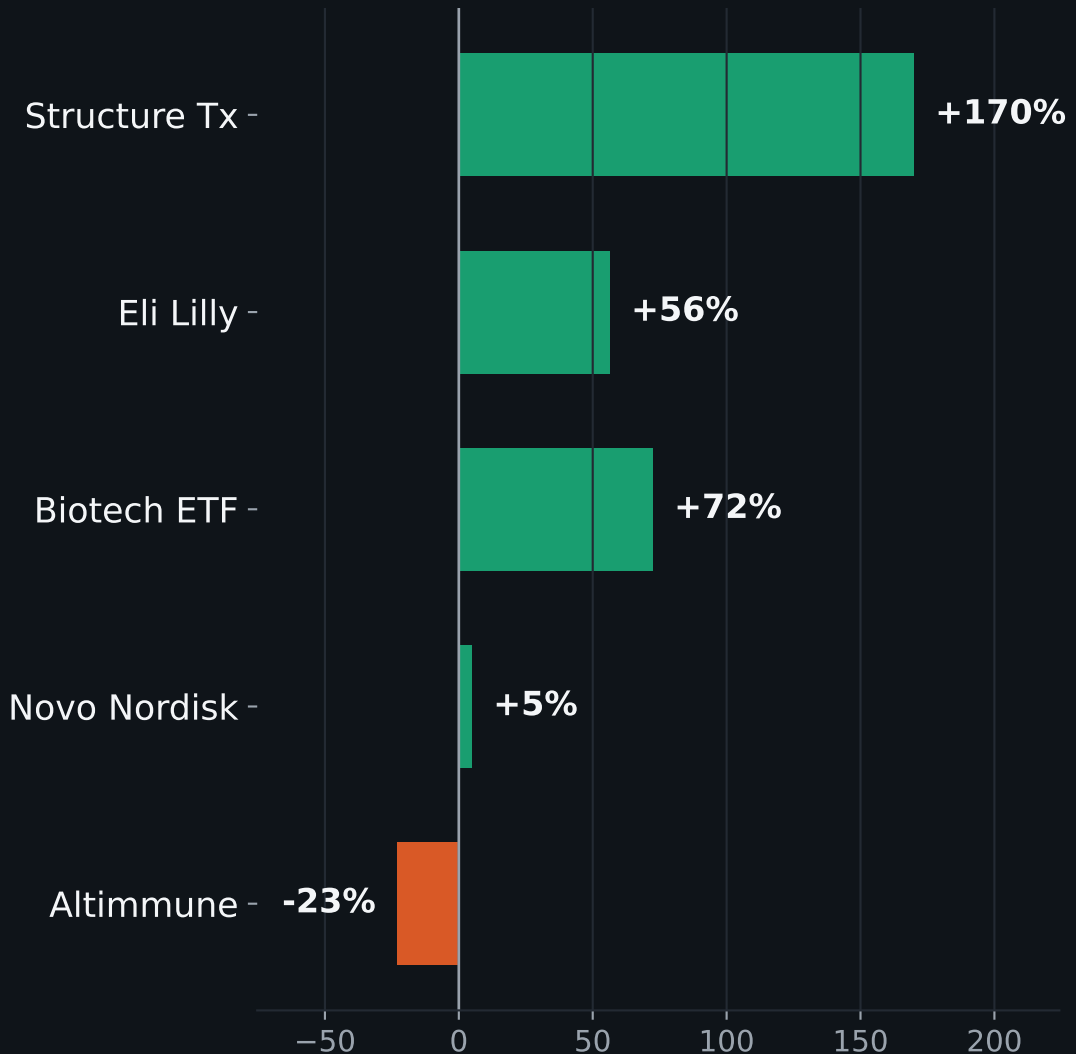
needs +100%

a fall of 73%

needs +270%

...just to get back to where you started.

Same tailwind. Opposite results.



One year, same drug class, same tailwind.

Picking the winner was the whole game.

THE FINDING

One stock carried the entire theme

All six GLP-1 names

beats the index

+450%

S&P 500

+275%

The same six, without Lilly

loses to the index

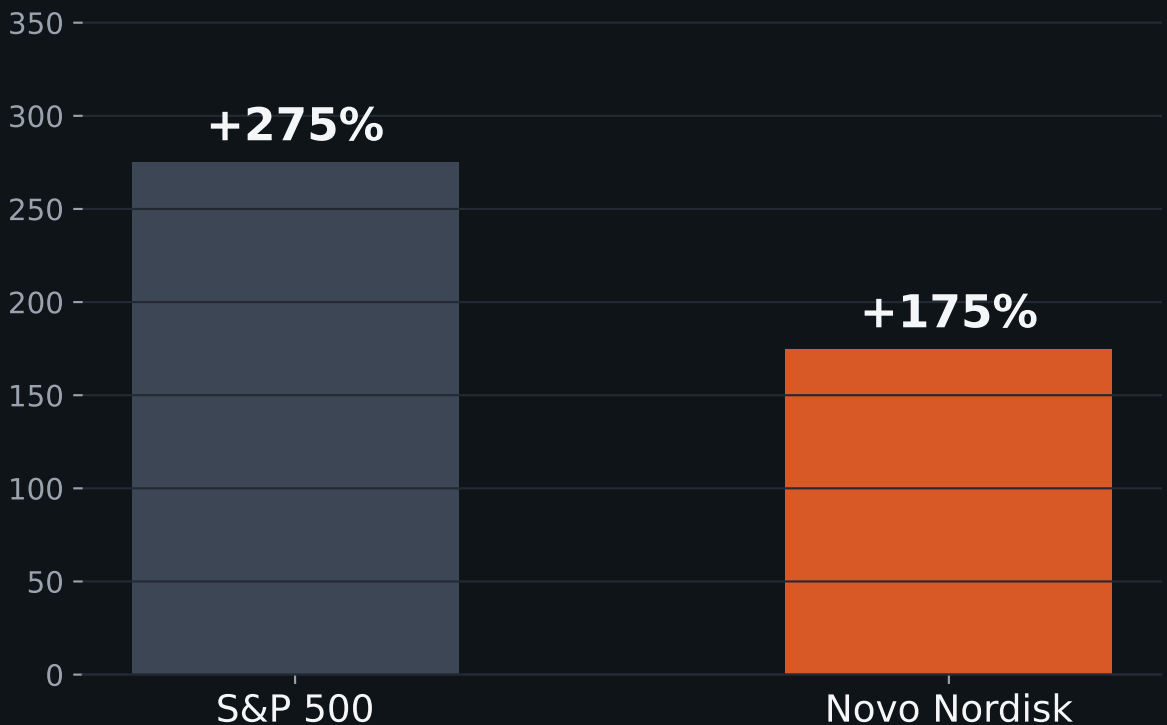
+170%

Equal-weighted, held since January 2015.

The drug class was genuinely transformative — and buying the class was still not a strategy.

THE TWIST

The company that invented the category lagged the market



Novo brought semaglutide to market and defined the category.

Inventing the product and capturing the shareholder return are different problems.

VALUATION

So Novo is cheap now?

Not once you adjust for growth.

	Novo	Lilly
Price ÷ earnings	14.1x	39.6x
Earnings growth, 5-yr	+7%	+17%
PEG (multiple ÷ growth)	2.26	1.92

Lower PEG = better value for the growth.

**A 14x multiple on shrinking earnings
is not a discount.
It is a forecast.**

HOW TO READ ANY MULTIPLE

Flip it upside down

A multiple is hard to judge.
A yield is not.

Novo at 14.1x

7.1%

Lilly at 39.6x

2.5%

$1 \div \text{the multiple} = \text{earnings yield}$ —
the profit earned per \$1 you invest.

Novo pays more today. Lilly's grows faster. That trade-off is the entire question — and it is why the cheap one is not automatically the bargain.

Everything here is what the market has already concluded.

None of it says who wins the next round. That turns on trial readouts, oral formulations, manufacturing and payer coverage — none of which live in a price series.

And Lilly is not priced as a safe bet: at a PEG of 1.92 it already needs years of high-teens growth to justify today.

Full study · charts, data and method

namikakmandev.github.io/glp1-stocks.html

Not investment advice.

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